

# Inside the JPM Collar: River, Rocks, and Greeks - Freebie (companion Educational Post On the Way)

A trader's map of how gamma, charm, and vanna compete around the quarterly JPM collar strike and why the reset changes everything.



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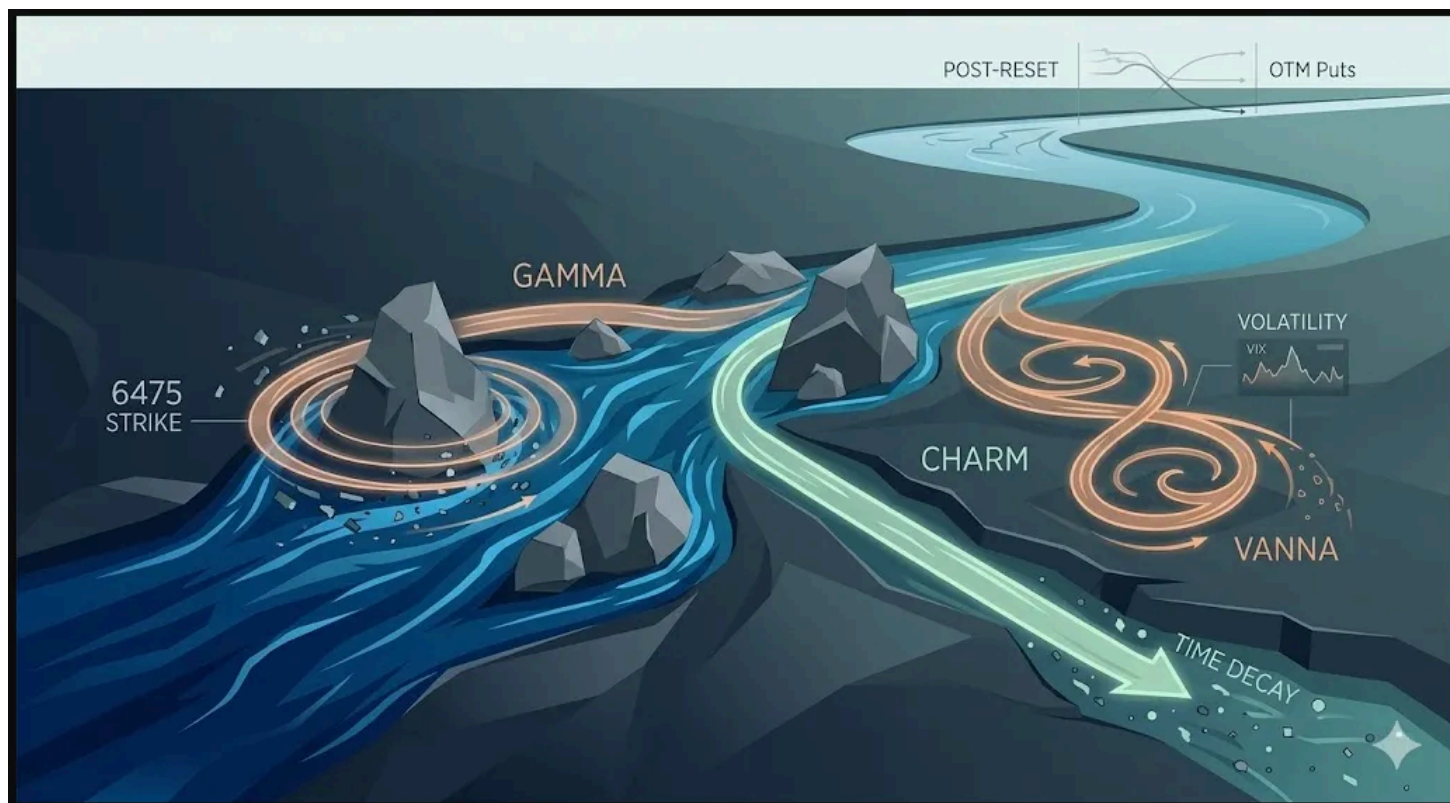
First, credit where it's due.

Daniel Roos, founder of VolSignals, SpotGamma, and Paul Duncan, founder of Gamma Edge — they've done the heavy lifting explaining what the quarterly collar is and why the big put strike matters. If you're new to the collar concept, go read them. Seriously. The structural architecture — the put spread, the short call, typically 35,000–40,000 contracts per leg depending on demand — that's well-documented territory. I'm not here to replot that field.

What I want to talk about is the part that gets less airtime.

The competition.

## Three Currents. One River



Think of the final 72 hours before a quarterly expiration like a river with three separate currents all running through the same channel at the same time. Sometimes they reinforce each other. Sometimes they fight. And when the index is pinned below a massive put strike — like 6475 this week — those currents go to war.

The three currents: Gamma. Charm. Vanna.

Each has an agenda. None cares about your P&L.

Current One: Gamma — The Pull Toward the Rock

Gamma pulls price toward the strike.

When dealers are short the massive put position — counterparty to JPM's long puts — they sit in negative gamma territory. Short gamma means you hedge with the move. Market drops, you sell futures. Market rallies, you buy them back.

When price is below 6475, a rally toward the strike shrinks the put's negative delta — moving it from, say, -0.85 back toward -0.50. The dealer, short that put, sees their positive delta exposure shrink. To keep their book flat, they must buy futures.

That buying into the rally is what creates the gravitational pull. Price keeps snapping back toward the strike. Looks like support. Isn't. It's mechanics — and it's strongest when the put is near-the-money, where gamma is at its peak sensitivity.

Current Two: Charm — The Clock That Sells

Charm is delta decay. Time passing changes the delta of an option, independent of price movement. In the final 72 hours, it's relentless.

When the index is below 6475 and the puts are in the money, charm pushes delta away from zero and toward -1.00. An ITM put with two days left might carry a delta of -0.82. With one day left, -0.95. The dealer, short those puts, carries positive delta and is short futures to offset it. As the put deepens toward -1.00, their option delta becomes even more positive, meaning they must sell more futures — every morning, without fail.

Nobody triggers it. No news required. The calendar does it for them.

Daniel Roos of VolSignals called it the “uncomfortable grind.” That’s exactly right. Not a crash. Not a flush. A grind that arrives on schedule regardless of what the tape is doing.

Current Three: Vanna — The Cruellest One

Vanna is where it gets perverse.

Vanna measures how delta changes when volatility changes. When the index is below the strike and vol drops — which usually reads as a bullish signal — the ITM put becomes more directionally locked. Lower vol, tighter distribution, higher probability of staying ITM. That pushes the delta closer to -1.00. The dealer, short that put, is suddenly carrying too much long delta. They sell futures to flatten the book.

Lower VIX = more selling.

A quick technical note: institutions and the Dealers doing the hedging aren't actually watching VIX here — they're tracking the fixed strike volatility of the exact 6475 line. Retail traders can't easily chart fixed-strike IV, (FSV) so we use VIX or VIX9D as a dashboard proxy. The plumbing is the same.

You read that right. In this specific setup, a “calming” market triggers additional mechanical selling. The thing that looks like stabilization is actually tightening the vice.

But here's the nuance that matters: vanna is typically most influential in the -0.70 to -0.80 delta zone. That's where the put still has meaningful room to travel toward -1.00 and vol changes can accelerate that journey. Once you're past -0.85, vanna starts losing its grip — the put is already close enough to -1.00 that vol compression has less distance to work with.

At that point charm takes the wheel. And charm doesn't care about vol. It just needs a clock.

### The Tug-of-War

Three currents. Three directions. One structure:

- Gamma → dealers buy into rallies below the strike. Pull toward the rock.
- Charm → dealers sell every morning. Downstream grind, on schedule.

- Vanna → dealers sell when vol drops. Same direction as charm.

Early in the final week, when time-to-expiration is still five-plus days out, Gamma tends to win. You get the magnet behavior — price snaps back, looks stable, feels recoverable.

As you compress into the final 48-72 hours, Charm accelerates. The clock eats the gamma pull. Every sunrise the dealers owe more futures to the market whether they like it or not. And if vol starts to compress while price is stuck below the strike, Vanna piles on in the -0.70 to -0.80 zone before handing off to Charm in the final stretch.

That's what happened this week. The current shifted. The rock stopped being a floor and became a ceiling.

### What Happens When the Dam Breaks: Post-Reset Dynamics

4:00 PM Tuesday, March 31. The 6475 puts expire.

Gone. All of it. The short gamma position that defined the last three months — cleared. The TrapDoor — closed. The kryptonite — dissolved.

Dealers unwind what's left of their hedge books. The artificial structural anchor at 6475 ceases to exist. And the new collar — reset 5% below wherever SPX closed Tuesday — anchors a new put strike somewhere in the 6030-6110 neighborhood. Far out of the money. Minimal gamma. Minimal charm. Minimal vanna.

The river goes quiet.

The Post-Reset Shift: Vanna Reverses Polarity

Here's what most people miss in the days after the reset.

The same Greek that was selling the market down is now set up to buy it back — mechanically, not sentimentally.

On the new OTM put structure, vol compression tightens the distribution away from the new strike. Lower probability of finishing ITM. Delta drifts away from -1.00, back toward zero. The dealer, short those new puts, sees their positive delta exposure shrink. To keep their book flat, they must buy futures.

Same mechanic. Opposite direction.

This is not a sentiment-driven bounce. Not short covering on good news. It's the same plumbing running in reverse. Watch for vol compression in the first 48 hours post-reset as a tailwind, not a trap.

Looking at Wednesday Through Thursday

If SPX closes Tuesday somewhere in the 6350-6425 range, Wednesday opens with a structurally different market than anything seen all quarter.

No major put bar in the immediate neighborhood. No charm grind overhead. No vanna trap.

What fills the void? News. Sentiment. Actual positioning. The stuff that should drive markets but got drowned out by the structural noise of tens of thousands of contracts aging toward expiration.

CTAs may still be positioned short depending on the prior week's slope. Vol control funds will rebuild slowly. But the mechanical headwind is gone. Dealers aren't forced sellers anymore.

Discretionary flows are quieter flows.

### The Lesson

The collar isn't the story. The Greeks are the story.

Any time you have a massive single-strike concentration in the options market — regardless of whether it's JPM or anyone else — those three currents are running. Gamma pulls toward the strike. Charm grinds away from it. Vanna distorts the vol signal, most aggressively in that -0.70 to -0.80 delta zone before handing off to charm in the final hours.

Understanding which current dominates at any given moment — based on time to expiration, moneyness, and the direction of vol — that's the edge. Not the headline.



Not the fund name. The Greek competition.

That's QUANTUITION.

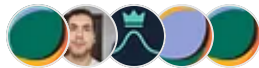
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